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Prepared By

Dixit Goyal

Commerce Educator

Founder & Director

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75082 85084



1. On liquidation of company, principal amount of debentures is returned:

- (A) First of All
- (B) Last of All
- (C) Before Equity Capital
- (D) After Equity Capital

2. Which of the following statements is false?

- (A) Debenture is a form of public borrowing.
- (B) It is customary to prefix debentures with the agreed rate of interest.
- (C) Debenture interest is a charge against profits.
- (D) The issue price and redemption value of debentures cannot differ.

3. Which of the following is not a characteristic of Bearer Debentures?

- (A) They are treated as negotiable instruments.
- (B) Their transfer requires a deed of transfer.
- (C) They are transferable by mere delivery.
- (D) The interest on it is paid to the holder irrespective of identity.

4. Which of the following statements is false?

- (A) At maturity, debentureholders get back their money.
- (B) Debentures can be forfeited for non-payment of call money.
- (C) In company's balance sheet, debentures are shown under the head Long-term Borrowings.
- (D) Interest on debentures is a charge against profits.

5. Which of the following statements is false?

- (A) A Company can issue redeemable debentures.
- (B) A Company can issue debentures with voting rights.
- (C) A Company can issue convertible debentures.
- (D) A Company can buy its own debentures and shares.

6. The principal amount of debentures will be repaid by the company either at the end of a specified period or by instalments during the lifetime of the company. Such type of debentures are called:

- (A) Redeemable Debentures
- (B) Irredeemable Debentures
- (C) Convertible Debentures
- (D) Bearer Debentures

7. The debentures whose principal amount is not repayable by the company during its lifetime, but the payment is made only at the time of liquidation of the company, such debentures are called:

- (A) Bearer Debentures
- (B) Redeemable Debentures
- (C) Irredeemable (Perpetual) Debentures
- (D) Non-Convertible Debentures

8. Debentures Application Account is in the nature of:

- (A) Real Account
- (B) Personal Account
- (C) Nominal Account
- (D) None of the above

9. Discount on Issue of Debentures is in the nature of:

- (A) Revenue Loss
- (B) Capital Loss
- (C) Deferred Revenue Expenditure
- (D) None of the above

10. Premium received on issue of debentures may be utilised for:

- (A) Writing off discount allowed on issue of shares
- (B) Writing off premium allowed on redemption of debentures
- (C) Writing off preliminary expenses
- (D) All of the Above

11. Debentures of a Company can be issued:

- (A) For Cash
- (B) For Consideration other than Cash
- (C) As a Collateral Security
- (D) Any of the above

12. On issue of debentures as a collateral security, which account is credited?

- (A) Debentures Account
- (B) Bank Loan Account
- (C) Debenture Holdings Account
- (D) Debenture Suspense Account

13. Debentures issued as collateral security will be debited to:

- (A) Bank Account
- (B) Debentures Suspense Account
- (C) Debentures Account
- (D) Bank Loan Account

14. When debentures of ₹1,00,000 are issued as Collateral Security against a loan of ₹1,50,000, the entry for issue of debentures will be:

- (A) Credit Debentures ₹1,50,000 and Debit Bank A/c ₹1,50,000
- (B) Debit Debentures Suspense A/c ₹1,00,000 and Credit Bank A/c ₹1,00,000
- (C) Debit Debentures Suspense A/c ₹1,00,000 and Credit Debentures A/c ₹1,00,000
- (D) Debit Cash A/c ₹1,50,000 and Credit Bank A/c ₹1,50,000

15. Interest on debentures issued as a collateral security is paid on:

- (A) Nominal value of debentures
- (B) No interest is paid
- (C) Face value of debentures
- (D) Paid-up value of debentures

16. On 1st April, 2022, Halogen Ltd. issued 4,000, 8% Debentures of ₹100 each, to be redeemed in four equal annual instalments beginning from 31st March, 2024. The interest on these debentures was payable half yearly, on 30th September and 31st March every year.

What is the journal entry to close the Interest on Debentures A/c on 31st March, 2025?

- (A) Debit Statement of P/L ₹32,000; Credit Interest on Debentures A/c ₹32,000.
- (B) Debit Statement of P/L ₹16,000; Credit Interest on Debentures A/c ₹16,000.
- (C) Debit Statement of P/L ₹24,000; Credit Interest on Debentures A/c ₹24,000.
- (D) Debit Statement of P/L ₹8,000; Credit Interest on Debentures A/c ₹8,000.

17. Premium on Redemption of Debentures Account is:

- (A) Personal Account
- (B) Real Account
- (C) Nominal Account
- (D) All of the Above

18. X Ltd. acquired assets of ₹20 lakhs and took over creditors of ₹20,000 from Y Ltd. X Ltd. issued 8% debentures of ₹200 each at a discount of 10% as purchase consideration. Number of debentures issued will be:

- (A) 11,000
- (B) 9,000
- (C) 10,000
- (D) 10,100

19. X Ltd. purchased a building for ₹60,00,000 payable as 20% in Cash and balance by allotment of 8% debentures of ₹500 each at a premium of 20%. Number of debentures issued will be:

- (A) 9,600
- (B) 8,000
- (C) 12,000

(D) 10,000

20. Match List I with List II

List I

List II

- | | |
|----------------------------|--|
| A. Amalgamation | I. Existing company takes over another |
| B. Absorption | II. Company whose business is taken over |
| C. External Reconstruction | III. Formation of new company by combining companies |
| D. Transferor Company | IV. Newly formed company takes over existing company |

Select the correct option:

- a) A-II, B-I, C-III, D-IV
- b) A-III, B-II, C-IV, D-I
- c) A-III, B-I, C-IV, D-II
- d) A-I, B-II, C-III, D-IV

21. Unrealised Profit should be:

- A) Ignored
- B) Added to sales
- C) Eliminated while preparing Consolidated Financial Statements
- D) Credited to Capital Reserve

22. Inter-company balances should be:

- A) Added
- B) Eliminated
- C) Doubled
- D) Ignored

23. Right Issue is governed by:

- A) Section 52
- B) Section 62
- C) Section 66
- D) Section 61

24. Dividend received from pre-acquisition profits is:

- A) Revenue Income
- B) Capital Receipt
- C) Business Income
- D) Interest Income



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25. Dividend received from post-acquisition profits is:

- A) Capital Receipt
- B) Revenue Income
- C) Capital Reserve
- D) Goodwill

26. Bonus Shares issued out of pre-acquisition profits are treated as:

- A) Revenue Profit
- B) Capital Profit
- C) Expense
- D) Liability

27. According to section 271 of the Companies Act, 2013, in which of the following circumstances National Company Law Tribunal (NCLT) may not order for winding up of a company?

- a) if the company has, by special resolution, resolved that the company be wound up by the Tribunal
- b) if the company has acted against the interest of the sovereignty and integrity of India
- c) if the company has made a default in filing with the registrar its financial statements or annual returns for immediately preceding three consecutive financial years
- d) if the tribunal is of the opinion that it is just and equitable that the company should be wound up

28. If Holding Company owns 80% shares, Minority Interest is:

- A) 80%
- B) 20%
- C) 50%
- D) 100%

29. For which of the following business, a partnership form of organisation would be suitable?

- (a) Grocery store
- (b) Craft centre
- (c) Internet cafe
- (d) Chartered Accountancy Firm

30. For which of the following business, sole proprietorship form of organisation would be suitable?

- (a) Iron and steel factory
- (b) Legal consultancy
- (c) Craft centre
- (d) None of these

31. The 'Dayabhaga' system of Hindu undivided family business is prevalent in

- (a) West Bengal
- (b) All over India
- (c) All over India except West Bengal
- (d) None of the above

32. Partnership is governed by

- (a) Indian Partnership Act, 1935
- (b) Indian Partnership Act, 1932
- (c) Indian Partnership Act, 1947
- (d) None of the above

33. Hindu Undivided Family Business is governed by

- (a) Hindu Succession Act, 1956
- (b) Hindu Succession Act, 1947
- (c) Hindu Succession Act, 1952
- (d) None of the above

34. If a Hindu inherits property from father, grandfather or great-grandfather, then such property is termed as

- (a) willed property
- (b) ancestral property
- (c) self-acquired property
- (d) None of these

35. If a Hindu inherits property from any other relative (other than father, grandfather or great-grandfather) then this property is termed as

- (a) willed property
- (b) ancestral property
- (c) self-acquired property
- (d) None of these

36. Match the following.

List I

- A. Grading
- B. Packaging
- C. Branding
- D. Advertising

List II

Facilitates selling

Naming the product for identification and distinguishing it from others



Art of informing customers

Classification, wins more confidence of customers

Codes:

- (a) A-4, B-1, C-2, D-3
- (b) A-1, B-2, C-3, D-4
- (c) A-2, B-1, C-4, D-3
- (d) A-4, B-3, C-2, D-1

37. Which of the following is not one of the stages of the product life cycle?

- (a) Introduction
- (b) Revive
- (c) Decline
- (d) Growth

38. According to the concept of product life cycle, profits are likely to be highest during the period of

- (a) introduction
- (b) growth
- (c) maturity
- (d) decline

39. When a product is in the growth stage of its life cycle, a firm should most likely expect

- (a) competition entering the market
- (b) decrease in the cost of production
- (c) increase in the cost of production
- (d) None of the above

40. One key factor to be considered for the management of product life cycle is to

- (a) try to control the length of a product life cycle
- (b) constantly search for new products and product improvements
- (c) eliminate advertising in the decline stage
- (d) All of the above

41. In _____ stage, a product is well established in the market.

- (a) decline
- (b) growth
- (c) maturity
- (d) None of these

42. The number of versions offered for each product in the line is known as

- (a) product line depth
- (b) product line length

- (c) product line width
- (d) None of these

43. In which stage of product life cycle, the company takes decision, whether to maintain, harvest or drop the product?

- (a) Introduction
- (b) Growth
- (c) Maturity
- (d) Decline

44. _____ are those customers who are not brand specific.

- (a) Switchers
- (b) Split loyals
- (c) Both 'a' and 'b'
- (d) Neither 'a' nor 'b'

45. In _____ segmentation, buyers are divided into different groups on the basis of lifestyle or personality and values.

- (a) demographic
- (b) psychographic
- (c) behavioural
- (d) None of these

46. The Times of India publishes local editions for different regions such as The Hyderabad Times for its Hyderabad readers. Here, consumer market is segmented on the basis of

- (a) geographic features
- (b) psychographic features
- (c) demographic features
- (d) None of these

47. Under which method, product is launched in a particular area of market?

- (a) Test method
- (b) Product test method
- (c) Market test method
- (d) Trend analysis

48. Brand mark is

- (a) a name, term, symbol or design which is intended to identify the goods and services of a seller
- (b) a brand that has been given legal protection
- (c) giving protection to the product and adding to its aesthetics and sales appeal
- (d) providing written information about the product

49. A product line strategy wherein a company adds a higher priced product to a line in order to attract a broader market which helps the sale of its existing lower priced product is called

- (a) trading up
- (b) trading down
- (c) life cycle extension
- (d) product line extension

50. Which out of the following is not a type of non-store retailing?

- (a) Limited line stores
- (b) Automatic vending
- (c) Direct selling
- (d) Telemarketing

51. Which one of the following is not the mode of direct distribution system?

- (a) Multiple shops
- (b) Door-to-door selling
- (c) Broking agent
- (d) Direct mail order

52. Convenience goods are those which are

- (a) consumed easily
- (b) distributed easily
- (c) purchased frequently
- (d) None of these

53. Grading is an important process in the function of

- (a) standardisation
- (b) specialisation
- (c) Both 'a' and 'b'
- (d) Neither 'a' nor 'b'

54. What is a product line?

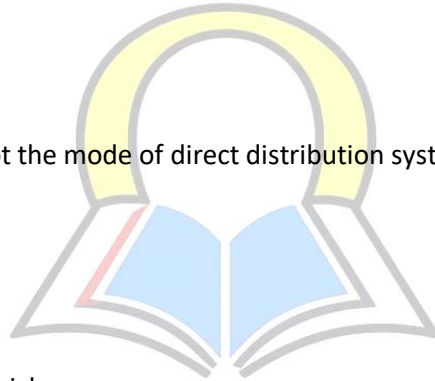
- (a) Group of different products
- (b) More than one product
- (c) Different brands
- (d) All of these

55. Which one of the following is not a controllable variable of marketing management?

- (a) Environment
- (b) Competition
- (c) Consumer
- (d) All of these

56. Who coined the expression 'marketing mix'?

- (a) Henri Fayol
- (b) James Culliton



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- (c) Peter Drucker
- (d) Abraham Maslow

57. A firm's cost of capital is the

- (a) overall cost of financing the firm
- (b) cost of bonds
- (c) cost of issuing stock
- (d) None of the above

58. The cost of debt financing is generally _____ the cost of preferred or common equity financing.

- (a) less than
- (b) equal to
- (c) more than
- (d) None of the above

59. The cost of issuing new stock is called

- (a) the cost of equity
- (b) marginal cost of capital
- (c) flotation cost
- (d) None of the above

60. _____ method is also known as time adjusted rate of return method.

- (a) Account rate of return
- (b) Net present value
- (c) Internal rate of return
- (d) None of the above

61. Which of the following statements is/are incorrect?

- (a) Sometimes IRRs fail to indicate correct choice between mutually exclusive projects
- (b) Payback period is widely used since it is a measure of profitability
- (c) Both 'a' and 'b'
- (d) None of the above

62. If interest expenses for a firm rise, firm has taken on more

- (a) operating leverage
- (b) financial leverage
- (c) fixed assets
- (d) None of these

63. The _____ is the percentage change in operating income that results from a percentage change in sales.

- (a) break-even point
- (b) degree of financial leverage
- (c) degree of operating leverage
- (d) None of the above

64. The rate of dividend of preference shares is decided at the time of

- (a) issue
- (b) dissolution of company
- (c) payment
- (d) None of these

65. For calculating the cost of preference share capital, the dividend of preference share is divided by _____ and multiplied by 100.

- (a) net income
- (b) net proceeds
- (c) net sales
- (d) net expenditure

66. Investment decision includes

- (a) expansion of existing business
- (b) expansion of new business
- (c) replacement of obsolete assets
- (d) All of the above

67. Dividend is the profit of the company divided amongst its

- (a) shareholders
- (b) brokers
- (c) debentureholders
- (d) None of these

68. Transaction costs include

- (a) brokerage
- (b) commission
- (c) printing
- (d) All of these

69. Stock dividend _____ the number of equity shares.

- (a) increases
- (b) decreases
- (c) neutralises
- (d) Both 'a' and 'b'

70. Which of the following is not an element of delegation?

- (a) Accountability
- (b) Authority
- (c) Responsibility
- (d) Informal organisation



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71. Staffing involves
- (a) orientation and appraisal
 - (b) training and development
 - (c) recruitment
 - (d) All of the above

72. Span of management refers to
- (a) number of managers
 - (b) length of term for which a manager is appointed
 - (c) number of subordinates under a superior
 - (d) number of members in top management

73. Match the following.

List I

- A. Formal organisation
- B. Informal organisation
- C. Functional organisation
- D. Divisional organisation

List II

High degree of specialisation

Rigid

Product specialisation

Flexible

Codes:

- (a) A-2, B-4, C-1, D-3
- (b) A-2, B-3, C-1, D-4
- (c) A-2, B-1, C-4, D-3
- (d) A-3, B-1, C-2, D-4

74. "Management is an art of getting work done by others". The statement belongs to

- (a) Stanley Vense
- (b) Peter F Drucker
- (c) Henri Fayol
- (d) Harold Koontz

75. Which of the following statements is/are false?

Management is a thinking function of top-level management.

Management does not ensure utilisation of available resources to achieve some objectives.

Management means managing men tactfully to get things done.

Select the correct answer using the codes given below.

- (a) 1 and 2
- (b) Only 3
- (c) 1 and 3
- (d) None of these

76. Father of modern management is

- (a) Henri Fayol
- (b) Koontz and O'Donnell
- (c) FW Taylor
- (d) Stanley Vense

77. Management is concerned with

- (a) legislative functions
- (b) administrative functions
- (c) executive functions
- (d) All of these

78. Match the following.

List I

- A. Executive functions
- B. Administrative functions
- C. Board of directors
- D. Research and development officer

List II

Administration

Lower management

Management

Top management

Codes:

- (a) A-1, B-3, C-2, D-4
- (b) A-2, B-4, C-3, D-1
- (c) A-3, B-4, C-1, D-2
- (d) A-4, B-1, C-3, D-2



79. Assertion (A): Management ensures maximum production at minimum cost.

Reason (R): Management eliminates wastes as far as possible.

Codes:

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true, but R is not the correct explanation of A
- (c) A is true, but R is false
- (d) A is false, but R is true

80. According to Fayol, 'Functions of management' are

- (a) planning and organisation
- (b) direction and coordination
- (c) control
- (d) All of these

81. Which of the following statements are correct regarding techniques of Financial Statement Analysis?

- 1. Comparative Financial Statements help analyse trends by comparing financial data of different periods.
- 2. Common-size Financial Statements express each item as a percentage of a common base figure.
- 3. Ratio Analysis is useful only for short-term liquidity assessment.
- 4. Trend Analysis helps identify long-term movement and direction of financial performance.

Select the correct option:

- a) 1, 2 and 4 only
- b) 1, 2 and 3 only
- c) 1, 3 and 4 only
- d) 1, 2, 3 and 4

82. Based on comparative financial statement analysis of the following information, which of the following statements is correct?

Particulars 2025 (₹) 2026 (₹)

Current Assets 18,00,000 24,00,000

Current Liabilities 9,00,000 15,00,000

- a) Working Capital increased by ₹6,00,000 and Current Ratio improved
- b) Working Capital remained unchanged but Current Ratio declined
- c) Working Capital decreased by ₹6,00,000 and Current Ratio declined
- d) Working Capital remained unchanged and Current Ratio remained unchanged

83. Which of the following conclusions is most appropriate based on trend percentages analysis taking 2022 as the base year?

Particulars 2023 2024 2025

Sales 115% 135% 150%

Cost of Goods Sold 110% 140% 165%

- a) Profitability position improved consistently over the period
- b) Cost control efficiency improved faster than sales growth
- c) Cost of Goods Sold grew at a faster rate than Sales, indicating possible pressure on gross margins
- d) Sales growth was insufficient to cover fixed costs

84. A company has Equity Share Capital of ₹1 2,00,000, 10% Preference Share Capital of ₹3,00,000, General Reserve of ₹5,00,000 and 12% Debentures of ₹10,00,000. It also has Long-term Bank Loan of ₹4,00,000 and fictitious assets amounting to ₹1,00,000. If preference share capital is treated as shareholders' funds, the Debt Equity Ratio will be:

- a) 0.74 : 1 b) 0.80 : 1 c) 0.87 : 1 d) 1 : 1

85. A company reported Net Sales of ₹80,00,000. Cost of Goods Sold amounted to ₹52,00,000. Administrative and Selling Expenses were ₹8,00,000, including ₹1,50,000 non-operating expenses.

The Operating Ratio will be:

- a) 65%
- b) 73.1%
- c) 75%
- d) 76.87%

86. Current Assets of a company amounted to ₹18,00,000 including inventory of ₹5,00,000 and prepaid expenses of ₹1,00,000. Current liabilities amounted to ₹8,00,000, including bank overdraft of ₹2,00,000 considered as long-term financing by the company. The Quick Ratio will be:

- a) 1 : 1
- b) 1.5 : 1
- c) 2 : 1
- d) 2.4 : 1

87. Which of the following statements are correct?

- 1. P/E Ratio reflects investors' expectations regarding future earnings.
- 2. P/E Ratio is computed by dividing market price per share by earnings per share.
- 3. A company with negative EPS cannot have a meaningful P/E Ratio.
- 4. High P/E Ratio always indicates overvaluation of shares.

Select the correct option:

- a) 1 and 2 only
- b) 1, 2 and 3 only
- c) 2, 3 and 4 only

d) 1, 3 and 4 only

88. Match List I with List II:

List I

List II

- | | |
|--------------------------------|---|
| A. Earnings Yield | I. ROE decomposition framework |
| B. Du Pont Analysis | II. EPS / Market Price per Share |
| C. Interest Coverage Ratio | III. Ability to service interest burden |
| D. Debt Service Coverage Ratio | IV. Overall debt servicing capability |

Select the correct option:

- a) A-II, B-I, C-III, D-IV
- b) A-I, B-III, C-IV, D-II
- c) A-II, B-IV, C-III, D-I
- d) A-III, B-II, C-I, D-IV

89. Which of the following statements are NOT correct regarding Funds Flow Analysis?

- 1. Profit on sale of fixed assets is deducted while calculating Funds from Operations
- 2. Issue of bonus shares increases Funds from Operations.
- 3. Increase in outstanding expenses increases working capital.
- 4. Issue of debentures for consideration other than cash may not result in flow of funds.

Select the correct option:

- a) 1, 2 and 4 only
- b) 1 and 3 only
- c) 2 and 3 only
- d) 1, 2, 3 and 4

90. Which of the following statements are NOT correct regarding Funds Flow Analysis?

- 1. Purchase of goodwill by issue of shares involves application of funds.
- 2. Funds Flow Statement analyses long-term financial strategy of business.
- 3. Acquisition of fixed assets through deferred payment creates both source and application aspects in funds flow analysis.
- 4. Increase in working capital represents an application of funds.

Select the correct option:

- a) 1 and 3 only
- b) 1 and 4 only
- c) 2 and 3 only
- d) 1, 3 and 4 only

91. A company reported Net Profit of ₹8,00,000 after charging depreciation of ₹1,20,000,

goodwill written off ₹40,000 and transfer to General Reserve ₹60,000. Profit on sale of machinery amounted to ₹50,000. Funds from Operations will be:

- a) ₹9,10,000
- b) ₹9,70,000
- c) ₹10,20,000
- d) ₹8,70,000

92. According to AS – 3, which of the following is NOT included in Cash and Cash Equivalents?

- 1. Preference shares redeemable within three months from date of acquisition.
- 2. Equity shares purchased for trading purposes.
- 3. Gold.
- 4. Short term demand deposits with banks.

Select the correct option:

- a) 2 and 3 only
- b) 1 and 4 only
- c) 1, 3 and 4 only
- d) 1, 2 and 3 only

93. A company reported Net Profit before Tax of ₹4,80,000 after charging depreciation of ₹60,000 and loss on sale of machinery ₹20,000. Profit on sale of investments amounted to ₹35,000. Trade receivables increased by ₹40,000 while trade payables increased by ₹25,000. Inventory decreased by ₹15,000. Cash generated from operations under indirect method will be:

- a) ₹5,25,000
- b) ₹5,40,000
- c) ₹5,60,000
- d) ₹5,75,000

94. Which of the following statements are correct?

- 1. Contribution first covers fixed cost and the balance represents profit.
- 2. Operating leverage measures sensitivity of profit to changes in sales.
- 3. Angle of incidence indicates relationship between profit and sales beyond BEP.
- 4. A zero Margin of Safety implies absence of contribution.

Select the correct option:

- a) 1 and 4 only
- b) 1, 2 and 4 only
- c) 2, 3 and 4 only
- d) 1, 2 and 3 only

95. Match List I with List II regarding Cost-Volume-Profit analysis concepts:

List I

List II

- A. Operating Leverage I. Indicates vulnerable profit position
- B. Low Margin of Safety II. Reflects impact of sales variation on profit
- C. High P/V Ratio III. Results in quicker profit generation

Select the correct option:

- a) A-II, B-I, C-III
 b) A-I, B-II, C-III
 c) A-II, B-III, C-I
 d) A-III, B-I, C-II

96. Exide batteries is currently maintaining a margin of safety 40% of sales and is making a profit of ₹50,000. How much is the current fixed cost in his business?

- a) ₹65,000
 b) ₹70,000
 c) ₹75,000
 d) ₹85,000

97. Madhav Enterprises currently sells 2,000 pieces of jeans at a selling price of ₹2,000 per piece. The variable cost per unit is ₹1,200 and total fixed costs amount to ₹14,00,000.

Due to the release of Seventh Pay Commission arrears, the business expects a 20% increase in sales volume in the upcoming season. Margin of Safety will increase by:

- a) ₹3,00,000
 b) ₹5,00,000
 c) ₹8,00,000
 d) ₹13,00,000

98. Profit under absorption costing is more than under marginal costing system when

- a) Production is greater than sales
 b) Production is less than sales
 c) Production is equal to sales
 d) No relationship between production and sales

99. A company manufactures a product that sells for ₹120 per unit. The variable cost per unit is ₹70. Annual fixed costs amount to ₹6,00,000, of which ₹1,50,000 can be avoided if operations are shut down temporarily. The company is currently operating below normal capacity due to weak market demand. The Shut-down Point (in units) for the company will be:

- a) 8,000 units b) 9,000 units
 c) 12,000 units d) 15,000 units

100. Match List I with List II regarding budgeting approaches and control systems:

List I

List II

- | | |
|-------------------------------|---|
| A. Zero-Based Budgeting (ZBB) | I. Evaluation based on functions, programmes and activities |
| B. Performance Budgeting | II. Every activity is justified afresh for each budget period |
| C. Flexible Budget | III. Performance measured according to responsibility centres |
| D. Responsibility Accounting | IV. Designed to change according to activity level |

Select the correct option:

- a) A–III, B–II, C–IV, D–I
- b) A–II, B–IV, C–I, D–III
- c) A–II, B–I, C–IV, D–III
- d) A–I, B–III, C–IV, D–II

101. A production department reported standard hours equivalent to actual output of 14,000 hours during a period. The actual hours worked were 12,000 hours, while the budgeted hours were 12,800 hours. The Efficiency Ratio for the period will be:

- a) 85.71%
- b) 109.37%
- c) 91.43%
- d) 116.67%

102. Match List I with List II regarding types of standards:

List I

List II

- | | |
|----------------------|--|
| A. Ideal Standards | I. Rarely revised and used as long-term index |
| B. Normal Standards | II. Based on anticipated current conditions |
| C. Basic Standards | III. Assume most favourable operating conditions |
| D. Current Standards | IV. Achievable under normal operating conditions |

Select the correct option:

- a) A–III, B–IV, C–I, D–II
- b) A–IV, B–III, C–II, D–I
- c) A–II, B–IV, C–III, D–I
- d) A–III, B–I, C–IV, D–II

103. The balance of the "Provision for Depreciation Account" (or Accumulated Depreciation) is uniformly reported in the financial statements as a:

- a) Direct operating revenue item in the income statement
- b) Deduction from the historical cost of the respective asset on the asset side of the

balance sheet

- c) Current asset entry under cash equivalents
- d) Direct addition to the opening capital account balance

45. In a vertical Common-Size Balance Sheet of an Indian organisation, which item is assigned the absolute base value of 100%?

- a) Share Capital
- b) Total Assets (or Total Liabilities + Equity)
- c) Cash and Cash Equivalents
- d) Net Operational Profits

104. An analysis of an Indian firm's Common-Size Income Statement reveals that Net Profit Margin dropped from 18% to 12%, even though the Cost of Goods Sold percentage remained constant at 60%.

Which of the following issues best explains this variance?

- a) A direct increase in manufacturing raw material input costs
- b) An inflation-driven increase in non-operating overhead costs or corporate tax provisions
- c) A sharp drop in total units sold, assuming fixed expenses do not exist
- d) An expansion of cash collections from existing trade debtors

105. If a company has a Current Ratio of 2.5:1 and a Quick Ratio of 1.5:1, and its Current Liabilities equal ₹3,00,000, what is the absolute value of its Inventory (assuming no prepaid expenses exist)?

- a) ₹4,50,000 b) ₹3,00,000
- c) ₹7,50,000 d) ₹1,50,000

106. Which of the following transactions results in a clear 'Source of Funds' within a Fund Flow Statement?

- a) Purchase of office equipment for cash
- b) Issue of new Long-term Debentures for cash
- c) Redemption of preference shares at par via cash payment
- d) The write-off of bad debts against an existing provision account

107. If a company's transaction involves converting ₹5,00,000 of Long-term Debentures directly into Equity Shares, what is its impact on the Funds Flow Statement?

- a) It will be shown as a clear application of funds
- b) It will have no effect on the total Net Working Capital and will not appear as a fund flow
- c) It will expand the working capital balance by ₹5,00,000
- d) It must be recorded as an immediate operating cash receipt

108. A business reports an increase in its Trade Payables balance of ₹40,000 and an increase

in its Inventory balance of ₹90,000 during the year. What is the net impact of these working capital adjustments on operating cash flows using the Indirect Method under AS-3?

- a) Net addition of ₹1,30,000
- b) Net deduction of ₹5,00,000
- c) Net deduction of ₹50,000
- d) Net addition of ₹50,000

109. BEP (Units) =

- A. Fixed Cost ÷ Selling Price
- B. Fixed Cost ÷ Contribution per Unit
- C. Variable Cost ÷ Contribution
- D. Sales ÷ Contribution

110. Margin of Safety means:

- A. Total Sales
- B. Excess of Actual Sales over BEP Sales
- C. Profit after Tax
- D. Fixed Cost

111. Higher Margin of Safety indicates:

- A. Higher Risk
- B. Lower Profit
- C. Better Profitability
- D. Higher Variable Cost

112. The Angle of Incidence represents:

- A. Selling Price
- B. Profit Earning Capacity
- C. Variable Cost
- D. Fixed Cost

113. Transfer Pricing is mainly used between:

- A. Customers
- B. Departments
- C. Banks
- D. Suppliers

114. Cost-plus Pricing is based on:

- A. Market Price only
- B. Cost plus Desired Profit



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- C. Variable Cost only
- D. Fixed Cost only

115. When Sales increase, Contribution generally:

- A. Decreases
- B. Increases
- C. Remains Constant
- D. Becomes Zero

116. If Contribution equals Fixed Cost, the firm earns:

- A. Profit
- B. Loss
- C. Break-even
- D. Super Profit

117. Higher P/V Ratio indicates:

- A. Lower Profitability
- B. Better Profitability
- C. Higher Variable Cost
- D. Lower Contribution

118. Margin of Safety can never be:

- A. Zero
- B. Positive
- C. Negative
- D. Equal to Actual Sales

119. Which is a short-term pricing technique?

- A. Marginal Cost Pricing
- B. Historical Cost Pricing
- C. Standard Cost Pricing
- D. Absorption Cost Pricing

120. The best indicator of business safety is:

- A. Profit
- B. Margin of Safety
- C. Fixed Cost
- D. Selling Price

121. Responsibility Accounting is based on the principle of:



- A. Centralization
- B. Accountability
- C. Tax Planning
- D. Financial Reporting

122. Which of the following costs is ignored while making short-term decisions?

- A. Relevant Cost
- B. Opportunity Cost
- C. Sunk Cost
- D. Differential Cost

123. A consultancy firm has been asked to prepare a quote for a special contract. The contract requires 100 hours of labour. However, the labourers, who are each paid at ₹ 15 per hour, are working at full capacity. There is a shortage of labour in the market.

The labour required for this contract would have to be diverted from another Job which currently utilizes 500 labour hours and generates ₹ 5,000 worth of contribution. Also this would delay the other Job and would invoke a penalty fee of ₹ 750. What is the relevant cost of labour for special contract?

- a) ₹ 2,000
- b) ₹ 2,500
- c) ₹ 2,250
- d) ₹ 3,000

124. Sunshine Ltd. is presently manufacturing 10,000 units of a component. The cost per unit is: Direct materials ₹ 6.00; Direct labour cost using one hour ₹ 3.00; Variable overhead ₹ 1.00; Specific fixed cost ₹ 2.50; Other fixed costs ₹ 2.00. Company is considering procuring this item from an outside supplier. In this case, the direct labour can be used for manufacturing some other product which will contribute ₹ 20 per unit. This product uses two hours of labour. The component can be purchased from outside at a maximum price of:

- a) ₹ 17.50
- b) ₹ 20.00
- c) ₹ 22.50
- d) ₹ 25.00

125. Which of the following is correct :

- 1. Contribution first covers fixed cost and the balance represents profit.
- 2. Operating leverage measures sensitivity of profit to changes in sales.
- 3. Angle of incidence indicates relationship between profit and sales beyond BEP.
- 4. A zero Margin of Safety implies absence of contribution.

Select the correct option:

- a) 1 and 4 only
- b) 1, 2 and 4 only
- c) 2, 3 and 4 only

d) 1, 2 and 3 only

126. Siya and Riya are sharing profits and losses equally, have fixed capitals of ₹2,00,000 and ₹1,00,000 respectively. For the year ended 2023-2024, interest on capital was credited to them @12% instead of 10%.

Adjusting entry will be –

(a) Siya's capital a/c Dr. ₹1,000

To Riya's capital a/c ₹1,000

(b) Riya's capital a/c Dr. ₹1,000

To Siya's capital a/c ₹1,000

(c) Siya's current a/c Dr. ₹1,000

To Riya's current a/c ₹1,000

(d) Riya's current a/c Dr. ₹1,000

To Siya's current a/c ₹1,000

127. Aksh and Ansh are partners in the ratio of 3:2. Their capitals are ₹1,00,000 and ₹50,000 respectively.

Interest on capitals is allowed @8%

p.a. Firm earned a profit of ₹7,500 for the year ended 31st March, 2021. As per partnership agreement, interest on capital is treated a charge on profits. Interest on capital will be:

(a) Aksh ₹4,500; Ansh ₹3,000

(b) Aksh ₹5,000; Aakash ₹2,500

(c) Aksh ₹8,000; Aakash ₹4,000

(d) No interest will be allowed

128. Which one of the following items cannot be recorded in the Profit and Loss Appropriation Account?

(a) Interest on capital

(b) Interest of drawings

(c) Rent paid to the partners

(d) Partner's salary

129. When the total amount withdrawn is given but the date of withdrawal is not given, then interest on drawings is charged for a period of:

(a) 3 months

(b) 6 months

(c) 9 months

(d) 12 months

130. Gurnoor and Jashnoor are partners in a firm. They did not have any partnership deed. On 1st July, 2022, Gurnoor gave a loan of ₹5,00,000 to the firm. On 31st March, 2023, he claims interest on loan @12% p.a. The interest on loan as per rules of Partnership Act, 1932 will be:

(a) ₹30,000

(b) ₹60,000

(c) ₹22,500

(d) ₹1,20,000

131. According to Profit and Loss Account, the net profit for the year is ₹4,20,000. Salary of a partner is ₹5,000 per month and the commission of another partner is ₹10,000. The interest on drawings of the partners is ₹4,000. The net profit as per Profit and Loss Appropriation Account will be:

- (a) ₹3,54,000
- (b) ₹3,56,000
- (c) ₹4,10,000
- (d) ₹4,20,000

132. Mukul and Anju are partners in a firm sharing profit and losses in 2:1 ratio with capitals of ₹10,00,000 and ₹8,00,000 respectively. The firm made profits during the year amounting to ₹3,45,000. Both partners are allowed salary of ₹2,500 per month. Interest on capital is allowed @5% on capital balance. Calculate the closing balance of capital for Mukul and Anju.

- (a) Mukul – ₹12,35,000; Anju – ₹9,10,000
- (b) Mukul – ₹12,10,000; Anju – ₹9,35,000
- (c) Mukul – ₹10,00,000; Anju – ₹8,00,000
- (d) Mukul – ₹10,30,000; Anju – ₹8,15,000

133. 'Samay' has given a guarantee to 'Vudit' for minimum ₹10,000 profit. At the year end, the firm suffered a loss and Vudit's share in the loss was ₹2,000. Calculate amount of deficiency to be borne by 'Samay'.

- (a) ₹10,000
- (b) ₹12,000
- (c) ₹22,000
- (d) None of the above

134. Which of the following statement is correct?

- (a) A minor can not be admitted as a partner
- (b) A minor can be admitted as a partner, but only for the benefits of the partnership
- (c) A minor can be admitted as a partner but his rights and liabilities are same of adult partner
- (d) None of the above

135. If a partner withdraws a fixed amount at the end of each quarter, interest on drawings will be charged for __ months.

- (a) 9
- (b) 7.5
- (c) 6
- (d) 4.5

136. Girdhar, a partner withdrew ₹5,000 in the beginning of each quarter and interest on drawings was calculated as ₹1,500 at the end of accounting year 31st March, 2022. What is the rate of interest on drawings charged?

- (a) 6% p.a.
- (b) 8% p.a.
- (c) 10% p.a.
- (d) 12% p.a.

137. Interest on partner's loan is:

- (a) Credited to Profit & Loss Appropriation A/c
- (b) Debited to Profit & Loss Appropriation A/c
- (c) Credited to Profit and Loss A/c
- (d) Debited to Profit and Loss A/c

138. B and D were partners. According to the provisions of partnership deed, interest on B's capital for the year ended 31.3.2022 was calculated at ₹4,000. The necessary journal entry for transferring interest on B's capital to Profit & Loss Appropriation A/c will be:

- (a) Profit & Loss Appropriation A/c Dr. ₹4,000
To B's Capital A/c ₹4,000
- (b) Profit & Loss Appropriation A/c Dr. ₹4,000
To Interest on B's Capital A/c ₹4,000
- (c) Interest on B's Capital A/c Dr. ₹4,000
To Profit & Loss Appropriation A/c ₹4,000
- (d) Profit & Loss Appropriation A/c Dr. ₹4,000
To B's Current A/c ₹4,000

139. A partner withdraws ₹3,200 each on 1st April and 1st October. Interest on his drawings @6% p.a. on 31st March will be:

- (a) ₹96
- (b) ₹384
- (c) ₹192
- (d) ₹288

140. Ashish, Shivand Manish are partners in a firm without any agreement. They have contributed ₹2,500, ₹1,500 and ₹10,000 by way of capital in the firm. Ashish was unable to work for six months in a year due to illness. At the end of year, firm earned a profit of ₹7,500. Ashish's share in the profit will be:

- (a) ₹1,880
- (b) ₹2,500
- (c) ₹1,250
- (d) ₹370

141. Omkar and Shiva were partners in a firm. Omkar was entitled to a salary of ₹20,000 p.a. while Shiva was entitled to a salary of ₹50,000 p.a. Net profit for the year ended 31.3.2023 after charging the salary of Omkar and Shiva was ₹5,60,000. The total amount credited to Omkar's capital account will be:

- (a) ₹2,45,000
- (b) ₹2,65,000
- (c) ₹3,15,000
- (d) ₹3,00,000

142. X, Y and Z are partners in a firm sharing profits and losses in the ratio of 6:4:1. X guaranteed a profit of ₹15,000 to Z. The net profit for the year ending 31.3.2019 was ₹99,000. X's share in the profit of the firm will be:

- (a) ₹30,000
- (b) ₹15,000
- (c) ₹48,000
- (d) ₹45,000

143. If a firm prefers Partners' Capital Accounts to be shown at the amount introduced by the partners as capital in firm then entries for salary, interest, drawings, interest on capital and drawings and profits are made in:

- (a) Trading Account
- (b) Profit and Loss Account
- (c) Partners' Current Account
- (d) None of these

144. A, B and C had capitals of ₹50,000; ₹40,000 and ₹30,000 respectively for carrying on business in partnership. The firm's reported profit for the year was ₹80,000. As per provisions of Indian Partnership Act, 1932, find out the share of each partner in the above amount after taking into account that no interest has been provided on an advance by A of ₹20,000, in addition to his capital contribution.

- (a) ₹26,267 for Partner B & C and ₹27,466 for Partner A.
- (b) ₹26,267 each partner.
- (c) ₹33,333 for A, ₹26,667 for B and ₹20,000 for C.
- (d) None of these

145. Net Profit after Interest but before Tax = ₹30,000

Shareholders' Funds = ₹3,00,000

10% Long-term Debt = ₹1,00,000

Tax Rate = 40%

Return on Investment will be:

- (A) 10%
- (B) 12.5%
- (C) 15%
- (D) 21.25%

146. Equity Share Capital 12,00,000

General Reserve 5,00,000

Debenture Redemption Reserve 1,00,000

Profit and Loss Balance (2,00,000)

Proprietary Ratio 0.2 : 1

Total Assets will be:

(A) ₹3,20,000

(B) ₹75,00,000

(C) ₹3,00,000

(D) ₹80,00,000

147. Cost of Revenue from Operations = ₹12,00,000

Inventory Turnover Ratio = 4 Times

If Opening Inventory was one-third of Closing Inventory, the Closing Inventory will be:

(A) ₹2,25,000

(B) ₹4,50,000

(C) ₹4,00,000

(D) ₹1,50,000

148. If Quick Ratio is 1.3 : 1, what will be the effect of the following?

Particular Effect

(i) Received ₹20,000 from a debtor (a) Increase

(ii) A debtor for ₹20,000 paid (b) Decrease

₹15,000 in full settlement

(iii) Paid rent ₹10,000 in advance (c) No Change

Choose the Correct Option:

(A) (i)–(c), (ii)–(b), (iii)–(b)

(B) (i)–(a), (ii)–(b), (iii)–(c)

(C) (i)–(c), (ii)–(a), (iii)–(b)

(D) (i)–(a), (ii)–(b), (iii)–(b)

149. Share Capital = ₹8,00,000

Reserve and Surplus = ₹4,00,000

General Reserve = ₹1,00,000

Total Assets = ₹20,00,000

Proprietary Ratio will be:

(A) 0.4 : 1

(B) 0.55 : 1

(C) 0.6 : 1

(D) 0.65 : 1

150. Current Assets (including prepaid expenses ₹20,000) 10,20,000

Trade Payables 3,00,000

Short-term Borrowings 1,40,000

8% Debentures 1,00,000

Provision for Tax 50,000

Calls in Advance 10,000

Current Ratio will be:

(A) 2.04 : 1

(B) 2 : 1

(C) 1.7 : 1

(D) 1.67 : 1



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